



Threadless, LLC, 1983 Tigertail Boulevard, Dania Beach, FL 33004

THREADLESS EARN MORE AGREEMENT

This agreement ("Agreement") is entered into by and between Threadless, LLC, a Delaware limited liability company doing business as Threadless ("Threadless") and _____, doing business at _____ ("Artist"). This Agreement is effective as of the last date signed below (the "Effective Date").

WHEREAS, Artist has created or creates a design or designs (the "Designs") per the design guidelines referenced below and submits the Design(s) to Threadless for possible display, distribution, and sale by Threadless in connection with the Threadless Design Project (the "Project");

WHEREAS, Artist has expressed its intent to use the services offered by Threadless, which include the marketing and advertising of the Design, and the manufacturing, distribution, and sale of the Design on physical and digital products (collectively, the "Items") by previously submitting the Design to Threadless for inclusion in the Project; and

WHEREAS, Threadless has rendered, and intends to continue to render, one or more of its services to Artist in connection with the Design;

NOW, THEREFORE, Threadless and Artist, in consideration of the following mutual covenants and promises, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, hereby agree as follows:

1. **Exclusive License.** Artist shall retain all ownership rights, including all copyright and other intellectual property rights, in the Artist brand name and the Design(s) submitted per 1(a) for the Project. For all Products listed in 1(b), Artist grants Threadless an exclusive license in the Artist brand name and Design(s), subject to the Term per Section 6, and further agrees that Threadless may: (i) display the Design on the Website and in magazines, television shows, movies, on the Internet, and other media; (ii) sell the Design(s) in the distribution channels and territories per 1(c) and 1(d); and (iii) make modifications to the Design(s) as necessary to prepare the Design(s) for use in a particular product category or for other manufacturing purposes. In addition, you represent that Threadless may legally make and sell merchandise incorporating the Design(s) without being obligated to make any payments to, or obtain any permission from, any third party.

(a) Designs:

- i. All designs submitted to Threadless
- ii. All designs posted to Artist's Threadless Artist Shop

(b) Products:

- i. Apparel (Men's, Women's, Kids, Pets, etc.)
- ii. Home Décor (Fleece Blankets, Pillows, Duvets, etc.)
- iii. Accessories (Pins, Patches, Stickers, etc.)
- iv. Art (Art prints, Stretched canvas, Wall tapestries, etc.)
- v. Drinkware (Pint Glasses, Shot Glasses, Mugs, Flasks, etc.)
- vi. Impulse (Lanyards, Buttons, Koozies, Key Chains, etc.)
- vii. Journals, Notebooks, Coloring Books
- viii. Bags (Totes, Backpacks, Laundry, etc.)
- ix. Wallets
- x. Headwear
- xi. Socks, Shoes, Footwear
- xii. Phone Cases
- xiii. Greeting Cards

- xiv. Digital representation of physical products listed above for use in virtual, augmented, or mixed reality environments and games
- xv. Digital animated and non-animated designs and characters, avatars, digital overlays, and skins for access and use in virtual, augmented, or mixed reality environments and games

(c) Distribution Channels

i. Exclusive Channels

- 1. Online E-commerce Retail
- 2. Virtual Catalog (eg., your designs may be added to other online sales channels for licensing, as well as print-on-demand manufacturing, including, but not limited to: Amazon, Shopify, and retailers such as Hot Topic.)
- 3. Online distribution channels of offline retailers

ii. Non-Exclusive Channels

- 1. Offline Retail

(d) Territory

i. Worldwide

2. Compensation, Reporting and Payment to Artist.

- (a) Online E-commerce Retail: For all Threadless-owned online distribution channels (Artist Shops and Threadless.com Marketplace), Threadless will pay Artist according to the terms and conditions governing those respective online distribution channels, which may be revised without notice from time to time, and can be found here: <https://www.threadless.com/info/terms/#payments-to-artists>
- (b) Offline Retail (including Online distribution channels of Offline retailers) and Virtual Catalog: Threadless will pay Artist 20% of royalties received from the licensing of the Designs under this agreement (the "Payments"). Threadless shall provide, within 60 days following the end of each calendar quarter during the Term, a quarterly report to Artist detailing wholesale quantities, revenue, and royalties by Design. Payments will be made via Paypal within 60 days of completion of each calendar quarter of the Term.
- (a) Artist is solely responsible for all excise taxes, or other taxes imposed by any governmental authority in connection with any Payments received from Threadless.

3. Program Change. Some Items are sold by Threadless in a variety of ways including, but not limited to, via wholesalers, licensees, and direct-to-consumer on Threadless.com. Artist understands and agrees that the Design may be sold directly to consumers and/or licensed to third parties for further distribution and/or sub-licensing at any point.

4. Artist's Warranties and Representations. Artist warrants and represents that it has full authority to enter into this Agreement, that it owns all rights in the Design, and that the Design does not infringe on any rights (including but not limited to copyright) of any third party. Artist understands and agrees that Threadless' use of the Design and its payments to Artist are subject to Artist's representations and warranties contained herein. For example, in the event that Artist does not own the Design, or the Design may infringe a third party's right, then Threadless may choose not to use the Design, and shall make no payment to Artist; if payment has already been made to Artist, it shall be reimbursed to Threadless.

5. Indemnification. Artist shall indemnify and hold Threadless, Licensor, and their respective officers and directors harmless against any and all claims and expenses, including reasonable attorneys' fees, arising out of or in connection with Artist's breach or alleged breach of this Agreement (including, but not limited to, Artist's representations and warranties).

6. Term and Termination. Term will be 24 months from the Effective date of contract (the 'Initial Term'), and will auto-renew for additional 12 month terms after the Initial Term. After the Initial Term, Threadless or Artist may terminate this Agreement at any time with or without cause, by providing 60 days written notice, including by e-mail, to the other Party. Additionally, Threadless shall be permitted six months (the "Sell-off Period") to sell off any remaining inventory, as well as complete any open customer orders.

7. Complete Agreement. This Agreement constitutes a complete agreement between Threadless and Artist, and supersedes any prior oral or written agreement between the parties with respect to the non-exclusive license on the Designs. Artist may not assign this Agreement. Neither party is relying upon any statement or representation not embodied in this Agreement. No modification of this Agreement shall be binding unless confirmed in writing by Threadless. For the

avoidance of doubt, Artist and Threadless further acknowledge that separate agreements may exist for Artist's Designs sold online at Threadless.com and Artist's Threadless Artist Shop.

8. Acts of Infringement. If at any time Artist becomes aware that the Design has been used, reproduced, or displayed for any commercial purpose by a third party, and/or that it has been offered for sale, sold, licensed, or assigned to a third party, Artist must immediately notify Threadless.com by sending an e-mail to artist.help@threadless.com.

9. Jurisdiction. This Agreement shall be governed by the laws of the State of Illinois. Artist agrees to submit to the personal and exclusive jurisdiction of the courts located in Cook County, Illinois, in connection with any action arising under this Agreement.

Artist and Threadless acknowledge and agree that they have read and understand the terms of this Agreement and agree to abide by them as evidenced from their signatures below.

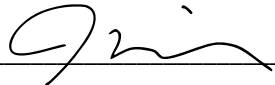
Artist:

By: _____

Print Name: _____

Date signed: _____

Threadless, LLC

By:  _____

Print Name: JAKE NICKELL, CEO

Date signed: _____